



“[Parametric insurance] products can be customised to offer coverage for most climate-related risks where reliable data is available”

DEEPAK KUMAR

SENIOR EVP & HEAD- REINSURANCE, CREDIT & AVIATION INSURANCE, TATA AIG GENERAL INSURANCE



“We offer a comprehensive weather insurance policy that provides index-based insurance coverage from excess or deficit rainfall, temperature and wind”

PARTHANIL GHOSH

DIRECTOR & CHIEF BUSINESS OFFICER, HDFC ERGO GENERAL INSURANCE

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	Traditional	Parametric
► Triggers	Loss or damage to a physical asset	Occurrence of an event that exceeds parametric threshold
► Recovery	Reimbursement of the actual loss suffered	Prearranged payment
► Basis Risk	Arises from policy conditions and exclusions	Correlation of the data and index with assumed risk
► Claim Process	Can be complex and involve multiple parties, significant adjustment and verification	Transparent and quick as trigger data sources are agreed upon in advance
► Structure	Standardised product with some customisation	Flexible and customised products

payment periods rather than a single end-of-season payout, which is beneficial to the workers,” says Nidhi Upadhyaya, Deputy Director, Global Policy and Finance at the Adrienne Arsht-Rockefeller Foundation Resilience Center.

As the frequency and intensity of adverse climate events have increased globally in recent years, industry players are calling for more customised products.

The availability of data is crucial, but HDFC flags that the non-availability of adequate weather station infrastructure has been one of the major challenges faced during the implementation of the Restructured Weather-Based Crop Insurance Scheme (RWBCIS). RWBCIS is an insurance scheme that protects farmers from losses.

Tomar also speaks about a ‘basis risk’, which refers to the discrepancy between the actual losses incurred and the index used to determine the payout. “The challenge is to design the index in a way that reduces basis risk. While it cannot be completely eliminated, it can be reduced or mitigated,” he adds.

Reinsurance companies providing parametric insurance solutions rely heavily on the expertise of climate scientists to design these products. “Climate scientists not only analyse historical data but also provide projections,” Tomar explains.

As of now, the parametric market, with its huge potential to close the climate adaptation gap, is set to expand further in India with businesses taking the challenges head-on. What needs to be watched is if more states will adopt it as well. **BT**

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